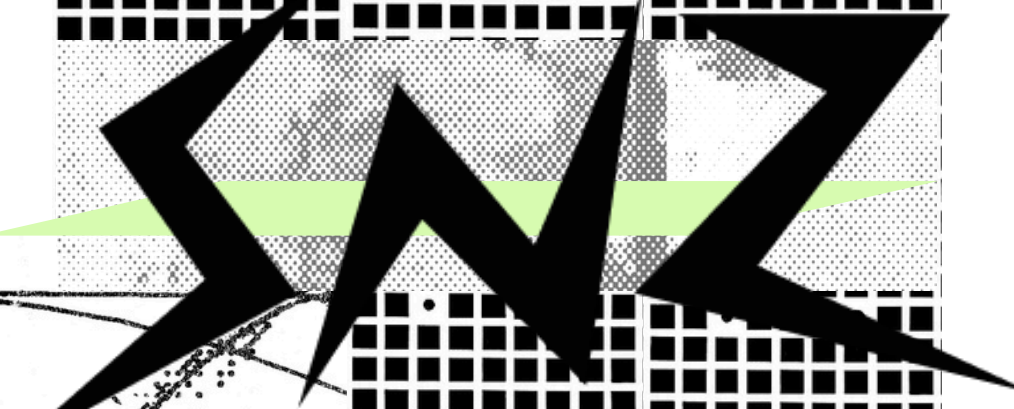
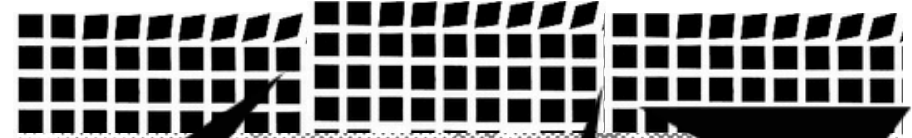
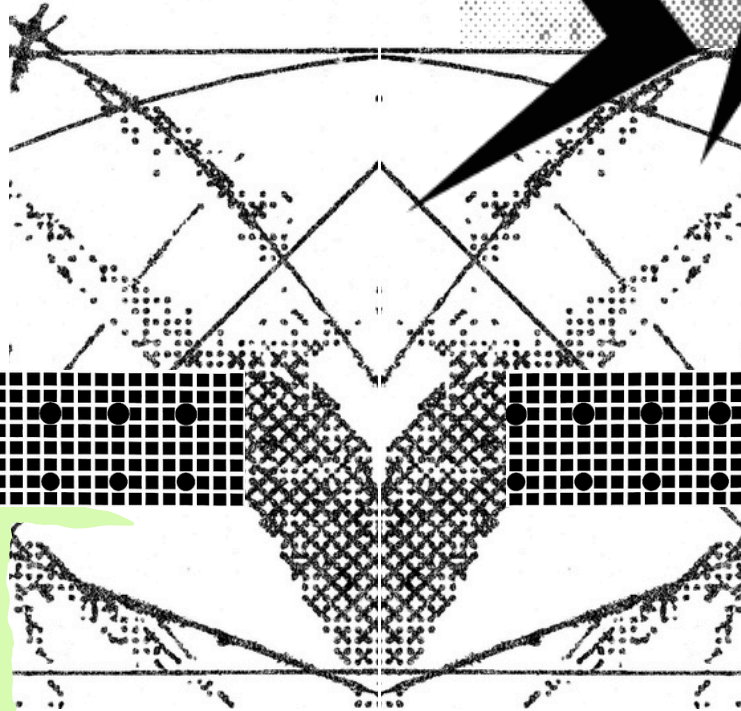


SNZ #CLASSIFIEDS

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It's communism, k00b



at a weekend time

MAR 14 - MAR 20

ISSUE #51

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Book Review: How a Second Grader Beats Wall Street, by Allan Roth

3272 sats \ 7 comments \ [@StillStackinAfterAllTheseYears](#)
14 Mar BooksAndArticles econ Stacker_Stocks



'Golden Rules Any Investor Can Learn'

I've been hitting a bunch of books on the history of finance and money (reviews to come), and saw this in my library and picked it up on a whim. I remembered when it came out, and figured it was a typical airport bookstore "get rich quick" book.

It's not.

It's actually really good, both in terms of writing, and in understanding markets. Obviously, as something written in 2006-2008 and published in 2009, it's pre-bitcoin, but for folks who follow traditional markets, the advice here is solid, clear, and just as relevant today.

The conceit is that Allan explains some basic market ideas to his son, and with some Socratic questioning and basic common sense, his son Kevin makes better decisions than typical Wall Street advisors. Of course, Allan's the one who actually does the market research (or just knows the funds already) and buys the portfolio, but that's fine, since the point of the book is to use the brief discussions with his kid as launching points for the actual advice.

And it's generally solid advice, Jack Bogle-adjacent stuff. He's not pushing advice for people who want to get rich quick, but for people who want steady increases that put them in a good retirement position, and if the world wasn't falling apart and there weren't a good non-fiat thing like btc, it would be solid today.

He uses actual math to demonstrate how index funds work, how Roth IRAs and 401Ks are set up, how tax harvesting can be useful, etc. He's also open about his own past mistakes, and admits that he scratches the itch by setting up a small "gambling" fund for individual stocks, but that he also treats it like gambling -- it's an entertainment expense, and he expects to lose plenty there.

He also does a great job showing the ways that a lot of paid financial advisors take way more than they're worth, and all the various schemes (like "whole life insurance") that are easy to get into, but both not worth it and tough to get out of once you're in.

Honestly, this is probably about as good an "Investing 101" or "Investing for Dummies" book as you could hope to find, and even if you're not in the stock market (including indirectly if you've got an employer-based retirement account), it's still chock full of good info.



Note from the Editor

The roots of this publication
are planted in unknown soil.
Nothing grew here before.

It is exciting to go before time
and think what could be,
and I'm going to do exactly that after issue #52. Back to the roots!

Quantum Threat?

6463 sats \ 33 comments \ [@clarity](#) 16 Mar [bitcoin_beginners](#)

So, from everything I've gathered, in terms of knowledge on all technologies in the world (nobody has comprehensive depth on any one of these btw),

Consider that on layer 1, the core of bitcoin, a double hashed SHA256 is double military grade algorithm selection, for storage of a private key on the blockchain (a private key being the binary version of your 12 word seed phrase (you know, it's like a single username/password combo on Bitcoin).)

For one, quantum proof bitcoin exists (I've never confirmed but heard from multiple sources). Any wallet that has not sent any money has not published a key to crack. (and that could be the only thing I say) (There are enough wallet addresses available to create a new wallet for every transaction through a wallet.)

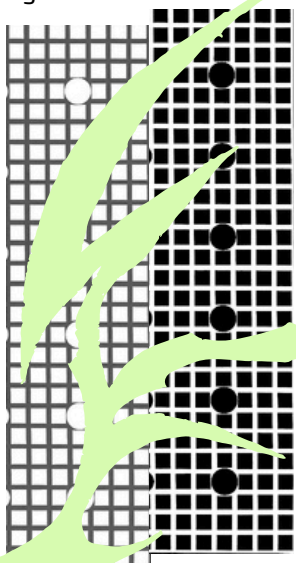
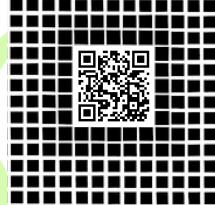
For two, we live in FUD World. This should be my first point.. Do your own critical thinking. Remember, it hurts to be a leader. (You have nobody to point at for your weird behavior.) Research in FUD world requires Occam's razor assumptions. It's flawed, but as good as you'll ever get to truth..

For three, basically everyone is experiencing deep sadness and pain right now, so they aren't thinking very clearly at all (in terms of seeking teachers and direction). I'm probably definitely not thinking very clearly right now..

For four, and this is definitely the whole point: Quantum is the epitome of a FUD World narrative. And if you wanted to prove me wrong, you cannot. The number of different types of types of qbits and qbit behavior is unfathomable. I could ask your questions for a lifetime.

For five, don't drink and drive guys. That would take a chunk of your stack (for our circular economy).

In celebration of these epiphanies, I'll be dumping a whole 10,000k into promoting this post via engagement.. (this is going to be like the epic 2 pizzas in maybe 13 years).



1252 sats \ 6 replies \ [@sirstackalot](#) 16 Mar

If it indeed turns out to be an existential threat, a hard fork involving hashing algorithm change would be the most effective solution and you can safely bet that most plebs will be on board i.e. it won't be contentious in any way. This has been brought up on different occasions over the past five years at least and this is the proposed solution. Not sure miners would eagerly support it as current mining equipment would be made obsolete as a result, but it's better than having your earnings drop to zero

→ 256 sats \ 2 replies \ [@SpaceHodler](#) 17 Mar

Why change the hash function?

It's not SHA256 that is the problem, but ECDSA.

→ 226 sats \ 0 replies \ [@kilianbuhn](#) 17 Mar

signatures are more urgent but hash functions are not threat proof either.

All hash functions based on universal-hashing have been shown to be threatened by Bonnetain 2021. It's not impossible the same will happen with Merkle Damgard constructions like SHA will have similar algorithms.

But worry not, there are many post-quantum secure hash functions in academia being discussed. They will be ready soon - many many years before quantum computers will have bit lengths long enough

→ 1 sat \ 2 replies \ [@clarity](#) OP 16 Mar

right, it's a risk because it's believed to be true that it is possible this will happen.

→ 1001 sats \ 0 replies \ [@sirstackalot](#) 16 Mar

This belief is the main ingredient of the fud. Quantum resistant algorithms are well known to devs, so it would be a nothingburger as the protocol would make the adjustment rather quickly

1239 sats \ 4 replies \ [@conduition](#) 17 Mar

Hey there, quantum cryptography researcher here. I've written extensively on the subject: [#735909](#) [#1288781](#) [#1453183](#) [#1419471](#)

Nobody can answer the question "When will quantum computers be powerful enough to threaten classical cryptography?". You're right to be skeptical of anyone who claims the threat is imminent without proof. But i would like to dispell a few inaccurate notions in your post and its comments.

First, facts only:

- Private keys aren't stored on the blockchain. A private key is just a big number, which you either know, or you don't.
- Public keys are sometimes stored on the blockchain. A public key is another big number, mathematically related to its private key. If you have the private key, you can create signatures which spend any bitcoins locked to your public key.
- If you have a big quantum computer, you can run Shor's algorithm to factor a public key into its private key.
- You cannot use a quantum computer to efficiently invert a strong hash function like SHA256. It gets easier, but is still thought to be intractable.
- Many public keys are exposed on the blockchain, including those of Satoshi's coins and of big exchange cold wallets. See this dashboard (explainer).
- Most NATO-aligned governments (US, UK, EU, AU) have deadlines to migrate fully to post-quantum crypto and disallow the use of quantum-vulnerable algorithms by 2035.

find more discussion at this post's page

Bread and circuses (baseball)

3237 sats \ 20 comments \ @bief57 18 Mar
Stacker_Sports Politics_And_Law



Yesterday there was an important game in the baseball community #1456112

USA vs. Venezuela.

I didn't see the game; it's not something that interests me, but I'm well aware that it's the most important and most played sport in Venezuela. Just as soccer is the hope for many promising young Brazilians to escape the favelas and have a better life, baseball is the same for Venezuelans. There are more baseball fields than for any other sport, in every corner of this country in the Southern Hemisphere.

It's fine, it's nice to be happy that your favorite team won, but I can't stop thinking about the underlying reasons for it all.

In November and December, the constant power outages stopped. They returned in February, with four-hour daily outages, until last week. Nobody says anything; power outages are "normal," but here's the strange thing: this week there were no outages, and I don't think it's a coincidence that the whole country was caught up in the excitement of the baseball games against Japan, Italy, the Dominican Republic, and of course, the most important one, the final against the USA. Yesterday I saw a meme that terrified me more than it amused me; it wasn't funny at all.

> "CORPOELEC NATIONAL ELECTRIC CORPORATION

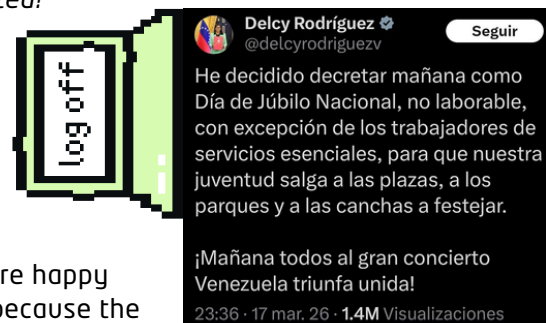
DEAR CORPOELEC, MORE THAN 30 MILLION VENEZUELANAS ASK YOU FROM THE BOTTOM OF OUR HEARTS TODAY TO PUT YOUR HAND ON YOUR HEART AND ALLOW US TO SEE THE MOST IMPORTANT GAME IN THE HISTORY OF SPORTS IN VENEZUELA...

TOMORROW, IF YOU WANT, YOU CAN CUT OFF THE POWER FOR 24 HOURS, BUT TODAY LET ALL VENEZUELANAS LIVE AND FEEL PRIDE WATCHING THE WORLD BASEBALL CLASSIC FINAL"

The social media accounts of the mayor's office, the governor's office, and any other state institution also played a role in promoting and continuing to promote baseball games as a form of entertainment. They offered giant screens so people could gather in the streets to watch the game, and the beer with the cake was like Delcy Rodríguez decreeing that today, March 18th, is a non working holiday.

> I have decided to declare tomorrow a National Day of Celebration, a non-working day, with the exception of essential service workers, so that our youth can go out to the plazas, parks, and sports fields to celebrate.

Tomorrow, everyone to the great concert, Venezuela Triumphs United!



Now people are happy and grateful because the power wasn't cut off and they don't have to work today. Do you see the same problem I do?

125 sats \ 6 replies \ @SimpleStacker 18 Mar

To be honest, I do not empathize with people who put such personal emphasis on how a sports team performs. Those athletes and coaches do not give a s*** about you.

I went to Duke for grad school. Everyone obviously loved basketball there. Coach K was the highest paid employee at the university. It's nice to enjoy the sport, but I honestly do not understand the level of worship people have for it.

↳ 159 sats \ 1 reply \ @Undisciplined 18 Mar

I understand it for kids, but it does seem like your priorities have to be out of whack as an adult to be so deeply affected by an outcome like that.

Still, I enjoyed the symbolic victory of Venezuela taking down America and I'm glad they got to enjoy it too.

↳ 124 sats \ 0 replies \ @bief57 OP 18 Mar

It was crazy; there were so many people in the streets, drunk and celebrating like there was no tomorrow. I saw the videos this morning when I woke up, and it inspired me to write this post. People asked me why I wasn't excited, and the answer is simple: first, I'm not interested in any sports teams, and second, my problems remain the same whether a team wins or loses. Unless I've made a serious bet, that's the only reason it would affect me emotionally in any way.



Pleb Economist #11: An Unfortunate Example of How Normies View Capitalism

4396 sats \ 21 comments \ @SimpleStacker 19 Mar econ



I've been playing some Pokemon Pokopia lately, and when browsing online I came across an article titled "Capitalism is Dead in Pokemon Pokopia, and Tom Nook Isn't Happy About It."

The article is a comparison of the economic systems of Animal Crossing (which infamously features a raccoon named Tom Nook who saddles you with a mortgage), and Pokopia, which has limited buying and no selling at all, and thus a very limited monetary system.

The article is full of communist utopian tropes, including paragraphs like this:

> It's worldbuilding with an added glimpse at what separation from capitalistic society could be. In this way, Pokopia encourages progression and collections without a financial incentive. I didn't collect fruit to sell it. Instead, I ate it for energy, fed it to my neighbors, or asked a skilled Pokemon to help me turn it into paint. For the most part, I didn't feel a need to scavenge every item I saw and just took what I needed. I actually wish I could sell some of my surplus items because I have enough sand in my pockets to build a new beach. I quickly learned that in Pokopia, everyone takes only what they need and contributes what they can.

Besides the obvious point that *it's just a game*, I don't really want to waste my breath objecting to this person's red visions. Truth be told, I can't tell if the article is even genuine or just rage-bait, and as such I'm not even gonna link it.

But what really caught my eye was the author's description of capitalism:

> By definition, capitalism is a survival-of-the-fittest system wherein private property owners are free to run their operations however they deem fit in effort to accrue personal wealth

I don't *think* the author was rage-baiting here. *I don't think.*

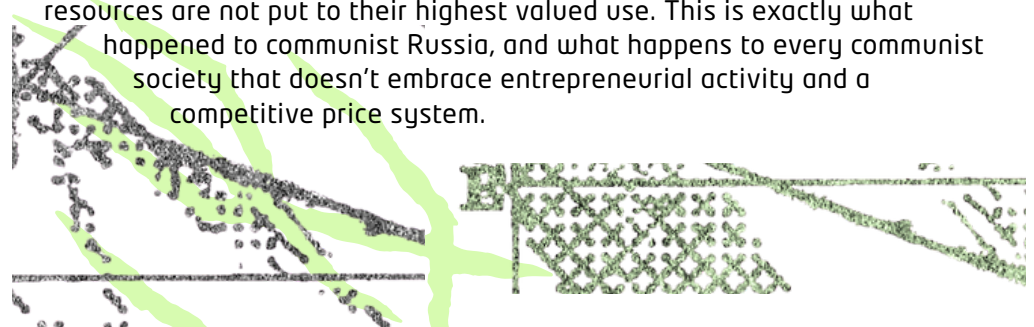
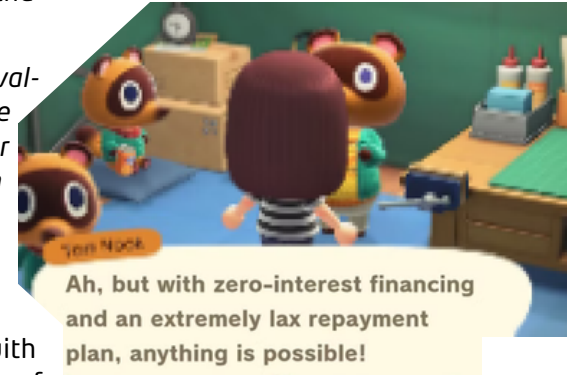
Their definition seems to resonate with Sven Beckert's implicit understanding of capitalism (the endless accumulation of stuff), which @denlilloapan has been valiantly reviewing on our behalf. Normie-ville seems to view capitalism as the endless accrual of personal wealth for apparently no reason other than accumulation for its own sake.

This is very frustrating because it ignores the fundamental premise of a capitalist system, which is that it incentivizes resources to flow to their highest-valued use, through the profit motive.

The argument is really very simple, and I teach it to my students in this simple three step process:

1. In competitive markets, prices reflect the marginal social value of the good (e.g. the buyers' marginal willingness-to-pay, and seller's marginal cost).
2. Profit is the difference between the price of outputs and the price of inputs.
3. Entrepreneurship is the act of seeking opportunities to transform lower priced inputs into higher priced outputs, taking the difference as profit. Because prices reflect the social value of a good, this transformation is value-creating, and represents a transformation of resources from lower-valued uses to higher-valued uses.

The key insight is that profit opportunities are both *non-obvious*, and *risky*. Thus, without any profit motive, there won't be people going out there to seek these value creating opportunities. The economy stagnates, because resources are not put to their highest valued use. This is exactly what happened to communist Russia, and what happens to every communist society that doesn't embrace entrepreneurial activity and a competitive price system.



continued

If people do not understand how profit-motive and entrepreneurship lead to better resource allocation, it's no wonder they can't understand why capitalist societies flourish while communist societies stagnate. And it's sad that so many people have this negative, bastardized version of capitalism in their minds.

We need better economics education throughout our society, STAT



Top 1% Poster

They have found a new sin.

Economics



How device hoarding by Americans is costing economy

2 days ago — Americans are holding onto devices longer than ever before, and while it may be consumer smart, it comes at a cost to work productivity and ...

The way the knuckleheads at CNBC and financial media talk about business

& economics doesn't help, either.



Prof Zenkus @anthonyzenkus ·

Using a device that still works is called "device hoarding" by the capitalists. These people are truly insane.

MC Squared @mcsquared34 · 18h

No CNBC, it's not device hoarding it's —MY PHONE STILL WORKS FINE AND I'M NOT GOING TO SPEND \$1500 FOR A SLIGHTLY BETTER CAMERA AND AN AI FEATURE THAT I'LL EVENTUALLY DISABLE



discussion

305 sats \ 5 replies \ @denlillaapan 19 Mar

> I don't think the author was rage-baiting here. I don't think. Their definition seems to resonate with Sven Beckert's implicit understanding of capitalism (the endless accumulation of stuff), which @denlillaapan has been valiantly reviewing on our behalf. Normie-ville seems to **view capitalism as the endless accrual of personal wealth for apparently no reason other than accumulation** for its own sake.

Very, very much so.

I'm toying with an idea to explain this insanity. I think it's

1. Wittgenstein's "what would it look like if the Earth went around the sun"?
2. extreme lack of empathy, in its deep meaning of: seeing the world *through someone else's eyes*. (Which is ironic, because it's the very left-wingy and weak-minded people who scream about this quality the most).

Basically, for 1:

when a normie looks at the news or what Elon Musk is up to, or what a successful businessman in their area seems to be doing, it looks like they are "endlessly accruing personal wealth" for no obvious reason... extravagant houses, flashy cars, nice vacations. Always more, always bigger stacks. (My fav Icelandic-village example here is the left-wing anger against heli-skiing... objectively unnecessary, but extremely expensive and "wasteful" -- at least if you care about kerosine consumption and CO2 emissions, but for some reason can't care about adrenaline thrill, extreme awe, or the entrepreneurial skill of assembling resources we have into a service others value highly) Never can they assess that there's a different mindset/theory/framework that equally well (=better) explain the facts.

For 2: the most important thing I ever got from endless exercises in Game Theory class (or other econ modelling) was to flip the game and assess optimal strategy *from the other party's point of view*. It's an underappreciated way in which I believe those trained in economics are, if anything, *more* capable of understanding where another human is coming from. And it's a way to understand that the game doesn't end after a single capitalist tries to extort/grab their share via trade... but that it's a competitive, continuous process. And if you do, you see the endless personal wealth being *productive*: build larger plants, offer more and wider services, better supply the world with services. For the "conspicuous consumption" and the flashy stuff, I've never understood the hatred... let them. It's the most obvious and harmless redistribution of wealth there is?

Hashtag, SimpleStacker unleashed a Den rant

↳ 132 sats \ 3 replies \ @SimpleStacker OP 19 Mar

You're right, it has a lot to do with not putting yourself in someone else's shoes, or not asking yourself how you'd behave in different circumstances, for that matter.

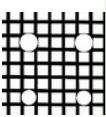
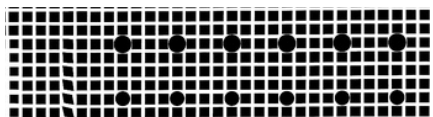
For example, if you owned a company, would you willingly shrink it? No? Because your workers depend on you for jobs? YQu do realize that if you grow your company, your wealth will grow at many multiples of the rate you pay your workers...

> Hashtag, SimpleStacker unleashed a Den rant

When they try to use my favorite games for communist propaganda, you know I'm gonna take it personally.

top meme

Meme Monday



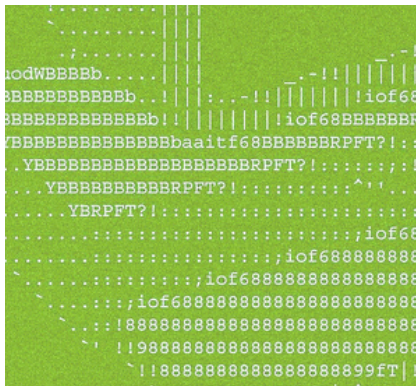
- Top Meme Goes in the Newsletter

426 sats \ 10 comments \
@sn 16 Mar memes

133 sats \ 0 replies \ @SpaceHodler 16 Mar



21 sats \ 0 replies \
@SHA256man 16 Mar



second most commented post

i think someone is trying to kill me for my bitcoin



881 sats \ 41 comments \ @finnegan 17 Mar
the_stack_muse

i had to replace my dryer

yesterday and the new ones come with these four-prong plugs, so i had also to rewire the outlet owing to that i had the old three-prong kind. i turned off the breaker and disconnected the old wires, but then when i was attaching the new plug i happened to push the wires out of my way for a minute and they touched and sparked.

i know that i turned off the breaker before starting. how else could i have detached the old plug without getting electrocuted? it was turned back on while i was working on it. but the fuse box is on the outside of my house so it could have been anyone who did it.

i've had heart trouble in the past. grabbing a live wire on a 40amp circuit would not be the most healthful activity for me.

i never told my family about my bitcoin and i don't live in a way that anyone would guess that i have a stack, but i got it in early 2010 and i have enough coins that people would call it life altering.

nobody knows i have bitcoin but i'm worried i slipped up somehow over the years. the breaker didn't switch itself back on and now i'm doubting my wife and grown children and neighbors.

what should i do?[1]

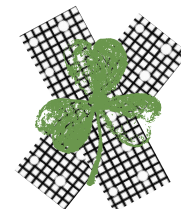
1. This sweet wee fascicle is a tribute to the ill-fortune of the Irish nation on this day of our alien heritage and a bit of a lark for the choicest of paupers here. you would do well to pretend it were real.

comments

502 sats \ 3 replies \ @plebpoet 17 Mar
Hang your clothes in the sun to dry

105 sats \ 4 replies \ @BITCOIN 17 Mar
consider setting up honey pot situations and recording them to weed out who it is.

115 sats \ 1 reply \ @NEEDcreations 17 Mar
always be strapped





Wittgenstein, Economists' Empathy, and an Unpublished Tale of a Fishing Boat

10.8k sats \ 8 comments \ @denlillaapan 19 Mar the_stacker_muse BooksAndArticles econ

A literal muse today.

SimpleStacker unleashed the creative demon within, so here we are. This is my comment to their excellent "meaning-of-capitalism" reflection earlier today ([#1457033](#)): [< you read it on page 10 >](#)

It reminded me of an **unpublished piece** I had gathering digital dust somewhere – congrats, [@siggy47](#), I know I've promised original material for a while. (And looking at it now, for the life of me I can't grasp why the editors passed on this: freakin' *excellent* piece of entertaining and educational economics writing):

A Tale of the Wages on a Fishing Boat

The chant is familiar to most of us: *Workers of the world, unite! You have nothing to lose but your chains.*

But closing the ideological pamphlets and stepping down from our soapbox into the real world of economic production, why should we *unite*? And economically speaking, what is the "we" that's supposedly uniting? Plus, the modern world isn't exactly jam-packed with chattels and fetters to lose, or at least, the minimum chains there are, are put there by nature (or the divine) in that *man must eat and toil for his sustenance*.

The greatest trick the (Communist) devil ever pulled was to think that there was an affinity between "workers" of this business or the other. **It always struck me as weird to think that the factory line worker in the industrial part of town had anything economically meaningful in common with the barista worker of a downtown, hipster café – or even a similar business across town or across the country or the globe.**

Surely, when inside one company, I'm combining forces with other people of that company. My affinity/affiliation is with those other people uniting to

achieve the thing the company set out to do – the coworkers, the bosses, and, by extension, the owners. Even the word "company" ([#1429046](#)) supports this notion; we are here *together*, we are doing things as one. (Etymologically, the word derives from the Latin words for "with" and "bread," so "*bread fellow, messmate*"). What solidarity or unity is there to speak of between a messmate of this table and another table way over there? Surely I'm beholden, if anything, to my messmate of *this* table?

Read in every odd newspaper opinion column or overheard in your local pub, we learn that capital oppresses the workers, that workers aren't paid a living wage. It's unfair that their bosses make more than they do, that the owners of their company banks more in a year from company profits/dividends than workers take home in a decade. But they have different roles, take on different risks, and stand to win or lose different things.

One of the first production functions that economics students are presented with is $Q=K+L$; capital mixed with labor creates output. While there's plenty of nuance here – with real-life capital or labor not being uniform blobs, with capital meaning tools and (labor-enhancing) equipment rather than financial assets ([#1416952](#)), and other relevant scaffolding (institution, property, rule of law) – the core insight is important:

Capital and labor are complementary, not antagonistic.

There are precious few production functions involving merely L. (Plus, there's lots to be said about the role of the entrepreneur in arranging the production or coming up with the idea.)

Economic historian Christopher Meissner, in his excellent broad economic history of the world *One From the Many* ([#960480](#)), explains how much of the "Golden Age of growth" in the postwar decades stemmed from a **cooperative equilibrium between workers and owners**: The coordination between workers exercising wage restraint and owners investing long-term *made everyone wealthier*. Nothing could more clearly indicate the complementary nature between labor and capital.

Let's illustrate with a fishing vessel.

[< follow this post's link online to reel in this illustration >](#)

...

What should be imminently clear is that *my* interests as a worker are not directly misaligned with my bosses or my company's owners: We are trying to do *the same thing*, whether catching fish, selling products, making cars, or creating content online.

In Mark Baum's words from the culminating speech in *The Big Short*, "When the hell did we forget all that?"